

****NovaMart Internal Document****

Pricing and Discount Policy

****Document Type:** Enterprise Policy & Governance**

****Applies To:** AI Business Analyst, Sales, Marketing, Finance, Management**

****Version:** 1.0**

****Status:** Internal Use Only**

1. Purpose

This document establishes NovaMart's official pricing and discount policy. It provides a consistent framework for setting prices, approving discounts, and evaluating promotional campaigns. It is intended to be used by the AI Business Analyst as a policy and retrieval-augmented generation (RAG) source when analyzing pricing, discounting, sales performance, and management approvals.

This policy applies to all product categories: Electronics, Home & Living, Gifts, and Accessories. It is a controlled internal document and does not contain historical performance data, real competitor pricing, or actual financial outcomes. All thresholds and approval levels described herein are fictional NovaMart policy values created for demonstration and internal governance purposes.

2. Pricing Principles

NovaMart's pricing strategy is designed to balance multiple business objectives:

- **Revenue growth** – pricing should support sustainable top-line expansion.
- **Customer acquisition** – competitive entry points may be used to attract new customers.
- **Customer retention** – consistent and fair pricing builds long-term trust.
- **Sustainable pricing** – prices should reflect product value and avoid eroding long-term margins.
- **Healthy product economics** – pricing should support viable unit economics across the portfolio.

Discounting is a tactical tool, not a default strategy. It should not be used as the automatic explanation for weak sales. When sales decline, the AI Business Analyst and management must investigate all plausible drivers—including product mix, seasonality, competition, availability, and customer behaviour—before attributing the change to pricing or discounting.

3. Standard Discount Policy

3.1 Standard Discount Threshold

- **Maximum standard discount:** 20%
- Discounts up to and including 20% may be applied at standard business discretion, subject to normal commercial judgment.
- **Discounts above 20% require management approval.** Approval must be documented and justified.

3.2 Management Approval Requirements

Any discount above the standard threshold must include:

- **Business justification** – why the discount is necessary and what it aims to achieve.
- **Expected customer/business impact** – anticipated effect on volume, revenue, retention, or acquisition.
- **Duration** – the specific time period for which the discount applies.
- **Approval** – sign-off from the appropriate manager as defined in the Approval Matrix (Section 5).

3.3 Product-Specific Policy

- High-demand products should not automatically receive large discounts. Discounting popular items can unnecessarily reduce revenue per unit and train customers to wait for promotions.
- Inventory-clearing promotions may use higher discount levels when formally approved. These should be time-bound and targeted at specific slow-moving stock.

4. Promotional Campaigns

Promotions may be used for the following purposes:

- **Customer acquisition** – introductory offers to attract new customers.
- **Seasonal campaigns** – holiday or event-driven promotions.
- **Inventory clearance** – reducing excess or obsolete stock.
- **Strategic product launches** – building awareness and initial traction.
- **Retention** – rewarding loyal customers or re-engaging inactive ones.

Campaign effectiveness should be evaluated using measurable outcomes. The AI Business Analyst should assess campaigns against predefined KPIs such as:

- Incremental revenue or units sold
- New customer acquisition count
- Repeat purchase rate among promoted customers
- Impact on average order value (AOV)
- Post-promotion retention

Promotions should not be considered successful solely because they generated sales. The net effect on revenue, margin (where cost data is available), and customer behaviour must be considered.

5. Approval Matrix

The following approval hierarchy applies to all customer discounts. These thresholds are fictional NovaMart policy values created for this demonstration.

Discount Range	Approval Level	Requirements
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0–20%	Standard business discretion	No additional approval required; normal commercial judgment applies.
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20–30%	Manager approval	Business justification, expected impact, duration, and manager sign-off.
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Above 30%	Senior management approval	Explicit justification, detailed business case, expected impact, duration, and senior management sign-off.
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All approvals must be documented. The AI Business Analyst should flag any observed discount above 20% that lacks documented approval as a governance exception.

6. Risk Considerations

Excessive or poorly governed discounting may create several risks:

- **Reduced realized revenue per unit** – discounts directly lower the price paid, which can erode revenue even if volume increases.
- **Customer dependency on promotions** – frequent discounting can train customers to wait for sales, reducing full-price purchases.
- **Distorted product performance comparisons** – discounted products may appear more popular than they are, skewing product-level analysis.
- **Artificial revenue growth** – discount-driven volume can make revenue growth look stronger without improving underlying demand or customer lifetime value.

These risks do not mean that discounting is inherently bad. They mean that discounting must be disciplined, targeted, and measured.

7. Analytics Guidance

When the AI Business Analyst observes evidence of discount-related performance changes, it must distinguish between three levels of inference:

1. **Observed:** Sales changed. (e.g., “Units sold increased by 15% during the promotional period.”)
2. **Possible explanation:** Pricing or promotion may have contributed. (e.g., “The increase coincides with a 10% discount campaign.”)
3. **Confirmed causal relationship:** Requires supporting evidence. (e.g., “The discount caused the sales increase.” – This requires evidence such as a controlled test, regression analysis controlling for other factors, or clear temporal and behavioural evidence.)

The AI must never present a possible explanation as a confirmed causal relationship. Correlation does not imply causation. The AI should also state when data is insufficient to draw a conclusion.

8. Governance

- **Policy Owner:** NovaMart Management
- **Review Cycle:** Annually or as business conditions change.
- **Compliance:** All pricing and discounting activities must comply with this policy. The AI Business Analyst should flag any observed deviations.
- **Documentation:** All discounts above 20% must have documented approval. The AI should cross-reference available approval records where possible.
- **Data Limitations:** If discount data is not available in the base transaction dataset, the AI must explicitly state that discount rates cannot be measured without additional data. No discount data should be fabricated.
- **Fictional Status:** The thresholds and approval levels in this document are fictional NovaMart policy values created for the purpose of this demonstration. They do not represent real company policies.

****End of Document****

This document is a controlled internal reference. It is intended for use by the AI Business Analyst and management teams. Any changes must be approved by NovaMart management.